

Paper fund memo 2026-W37

Portfolio Memo, Week 37, 2026

Date: 2026-09-09 · **Lens:** 5, Regulated assets and Brazilian special situations · **Prices as of:** dates stated per figure; nothing in this memo is a live quote

First run under the special-situations screen (screens.md, 2026-09-09). Phase 1, so every candidate below is a paper position or a watchlist entry. No trades are proposed and none could be.

Front page. Portfolio empty; no trades. One paper position logged: EYDAP (Athens water), first reporting period under a new revenue cap, catalyst 30 Sep 2026, own target €15.3 vs €12.28 (about 25%), with a bear case that says much of it is already priced. Two watchlist entries that do not yet meet the screen: Sanepar (regulatory dispute, no date) and Light (RJ exit, leverage gate and Starboard conflict unresolved). Rejected: Oncoclínicas (leverage; but see question 1), Copasa (event done, priced), AySA/Metrogas (Starboard), Transener (not tradeable), Argentine ADRs (no dated event). Four decisions needed from you in section 7, the first two before week 38. This memo runs about twice the target length because it is the first screen and had to show its gating work; sections 1, 2, 4 and 7 are the read-first parts.

1. Position

Sleeve	Target	Actual	Status
Core	70%	0%	Not yet funded (holdings.md, 2026-09-09)
Satellite	25%	0%	Closed until phase 2 (~US\$12,500 invested)
Fast sleeve	5%	0%	Closed until phase 2; paper only

Band breaches: none (nothing invested). Capital available to deploy at the next gate: US\$0 for single names. Core contributions are the only actionable item and they are on the quarterly remittance schedule.

Still missing from the user (mandate.md open items): which UCITS lines are tradeable at IBKR, and whether the core carries a factor tilt. Until the first line is confirmed, there is nothing for the core to buy.

2. Holdings check

No holdings. Paper watchlist was empty before this memo. Nothing to re-underwrite.

Tripped criteria: none.

3. This week’s lens: regulated assets and Brazilian special situations

ISO week 37 mod 8 = 5. This lens exists because the day job gives an information edge in reading regulatory decisions, concession contracts and Lei 11.101 documents, and because the usual mispricing in this pocket is the market valuing the last regulatory regime rather than the announced one.

Conflict screen, done first. AySA and Metrogas are live Starboard workstreams and are excluded from this book entirely, not even as paper positions. Light S.A. was one of the largest recuperações judiciais of the cycle; whether Starboard is or was active in its credit is unknown to this memo and must be confirmed by the user before Light can be logged (see candidate 3). Transener’s privatisation completed in May 2026 but the stock trades only on BYMA with no ADR, so it fails the IBKR gate [UNVERIFIED: IBKR access to BYMA].

Candidate 1: EYDAP, Athens Water Supply and Sewerage (EYDAP:ATSE)

The business. The regulated water and sewerage monopoly for Athens and the Attica region; served population [UNVERIFIED]. Greek state controls it (50%+1 directly, 11.33% via HRADF, per company statement of Feb 2026).

Event. A first-ever regulatory period. Tariffs had been frozen since 2008. RAAEY approved EYDAP’s revenue cap and pricing policy through 2029 after consultation, with new tariffs effective 1 January 2026 (company statement, Feb 2026; Athens Times, Dec 2025). Management stated at the FY2025 results (30 Apr 2026) that the framework adds on average €78.3m per year of revenue versus 2024 through 2029, and that roughly €42m of 2025 regulatory revenue is deferred into 2026 to 2029 (ot.gr, 30 Apr 2026).

Why the price may be wrong. Reported FY2025 numbers were ugly: revenue €364.7m, EBITDA €32.1m, net loss €21m, with a €15m one-off tax charge for 2019 to 2024 (ot.gr, 30 Apr 2026). Management’s adjusted figures were revenue €406.6m, EBITDA €78.6m, net profit €36.1m. The dividend was cut to €0.07 (Simply Wall St, Jun 2026). A screener sees a loss-making utility that cut its dividend. The filings show a business whose allowed revenue has just stepped up by roughly a fifth and whose 2025 P&L does not yet contain any of it. That is the classic lens-5 pattern.

Path and date. H1 2026 results are the first reporting period under the new tariffs. Greek issuers must publish H1 by 30 September, so the catalyst date is **30 Sep 2026**, with FY2026 results (late April 2027) as the confirmation. Slip scenario: results land on time by law; the slip risk is in content (regulatory revenue booked below the €78m run rate), not timing.

Under-covered? Analyst count [UNVERIFIED]; market cap around €1.3bn at €12.28 (Yahoo, 4 Sep 2026) on 106.5m shares [UNVERIFIED share count]. Not in MSCI Greece standard [UNVERIFIED]. Meets the tiebreaker if fewer than five analysts cover it; the user should check on the IBKR research tab.

Gates. Positive operating cash flow in two of three years [UNVERIFIED; needs the annual reports]. Net cash: total cash €276m at last balance sheet (Yahoo, mrq) against debt [UNVERIFIED], so the 2.5x leverage gate is almost certainly cleared. Auditor [UNVERIFIED]. English filings: yes. IBKR access to Athens Exchange: [UNVERIFIED, likely yes]. ADV in USD terms: [UNVERIFIED]; must exceed US\$150k.

What would have to be true. (1) The H1 2026 accounts show revenue recognised at or near the approved cap, not deferred again. (2) The €2.5bn ten-year capex plan is funded mostly by EU structural funds (56% of 2025 capex came from ESPA; 37% of the €2.5bn already

approved per management) and the €250m EIB line, so the net cash does not simply evaporate. (3) The state as controller does not reopen tariffs before 2029. The Athens mayor publicly attacked the increase in February 2026; the company answered that the state receives most of the dividends. That is the politics of it in one exchange.

Own target, arithmetic shown. Run-rate EBITDA under the framework: adjusted 2025 EBITDA €78.6m plus roughly €70m of the €78.3m annual revenue uplift falling to EBITDA (regulated revenue with largely fixed opex) gives about €150m. At 9x EV/EBITDA (mature European water assets; multiple is my assumption, [UNVERIFIED] against peers this week) EV is €1.35bn, plus €276m cash and ignoring debt gives equity of about €1.63bn, or **about €15.3 per share, roughly 25% above €12.28**. If the multiple is 7x the target is €12.5, i.e. no upside. The trade only works if the run-rate EBITDA shows up in the H1 accounts.

Bear case, at least as long. The stock is up 57.6% over one year to 4 Sep 2026 (Yahoo), including a 27% surge in July. A good part of the framework is therefore already priced; this is trap 1 in the screen. The €78.3m uplift is management's number from a press briefing, not the regulator's decision text, which this memo did not read. The €323m of prior-period claims management is still pursuing have not been approved by RAAEY; a bull case that leans on them is leaning on air. Drought: Attica's reservoirs were at their worst in 30 years in late 2025; volumes fall when the state imposes restrictions, and a revenue cap protects revenue only if the reconciliation mechanism actually works in year one, which nobody has seen yet. Capex is going from €15m a year to a €2.5bn decade; if EU funding disbursements lag, the net cash turns into net debt and the dividend stays cut. The dividend cut to €0.07 tells you the board is already worried about that. Governance: state-controlled, board reconstituted in April 2026, a July 2026 draft water-sector law under consultation. And the sector reform draft (July 2026) confirms RAAEY pricing but could change cost-recovery rules; a regulator that took 17 years to grant an increase can take one year to claw it back. Finally, the informed seller: Paulson & Co. held about 10% historically; if that stake has been distributed into the July rally, the seller who knows the asset best has been exiting into the re-rating [UNVERIFIED].

Verdict. Paper position, logged today. Size: US\$1,000 hypothetical (the phase-2 minimum, equal to 8% of a US\$12,500 book). Entry €12.28 (4 Sep close, Yahoo; not today's price). Target €15.3. Catalyst 30 Sep 2026. Kill criteria: (a) H1 2026 reported revenue below €200m, meaning the cap is not being booked; (b) any RAAEY or ministerial act reopening the 2026 to 2029 pricing; (c) net debt appearing on the balance sheet before FY2027. Gate date: week 40 (next lens 7/anti-thesis week is week 39, gate at week 40). Strong candidate, buyable at that gate only if the satellite were open, which it is not.

Candidate 2: Sanepar (SAPR11:B3)

The business. State-controlled water and sewerage company for Paraná, listed since 2002, Nível 2 governance, third periodic tariff review completed in 2025 with AGEPAR as regulator (Fitch report on Sanepar IR site, 13 Mar 2026).

Event. A regulatory decision, already taken: on 23 June 2026 AGEPAR's board ruled that a roughly R\$3.94bn precatório (federal tax refund received 1 Sep 2025) goes 100% to tariff modicity, 50% as bill discounts and 50% as non-remunerated investments, indexed at the regulatory rate (Investidor10, 25 Aug 2026; Gazeta do Paraná, 24 Jun 2026). Market had expected the old 75/25 split, which would have left roughly R\$1bn with the company (Investidor10, 18 Apr 2026). Sanepar filed a mandado de segurança in April and cancelled its H1 2026 JCP after the ruling (Seu Dinheiro, 25 Jun 2026).

Why the price may be wrong. Units fell around 7% on the March technical note and traded at R\$37.21 on the day of the June ruling (Investidor10), against a pre-dispute range near R\$41 in April. The market has priced the loss of the R\$1bn dividend and, arguably, a discount for a regulator that changed the rules after the cash arrived. The asymmetry: the downside (zero to shareholders) is the base case already in the price; any court outcome restoring the 75/25 split is pure upside; and the 50% "non-onerous investment" leg is capex the company would partly have done anyway, funded by a customer credit rather than the balance sheet, which is not value-neutral for the shareholder even though it is not remunerated.

Path and date: this is where it fails. The mechanism is a court ruling in the Vara da Fazenda Pública de Curitiba, with appeals to follow. There is no date. The screen requires one. Sanepar therefore goes to the **watchlist, not a paper position**, until a hearing or judgment date exists. Second, the state election is in October 2026 and the governor's camp has floated privatisation for two years (Folha de Londrina, Jan 2025); the CEO said in April 2026 the company has no mandate to privatise (Money Times). A privatisation announcement would be a dated event; the memo does not assume one.

Gates. Brazil cap applies (0 to 10% of portfolio; there is no other Brazilian exposure). Liquidity: SAPR11 is a Nível 2 unit with institutional volume; ADV in USD [UNVERIFIED but almost certainly above US\$150k]. Leverage: Fitch AAA(bra) stable; net debt/EBITDA [UNVERIFIED, needs the 2T26 release]. Starboard conflict: the user must confirm none.

Bear case. A state-owned utility litigating against its own regulator in an election year is a governance red flag, not a catalyst. The 2025 tariff review is done, so the next reset is years away; an unhappy regulator has other levers before then (quality penalties, RAB glosas). Precatório funds that go to bill discounts reduce revenue in the years they are applied, which the market may not yet have fully modelled. The person on the other side of this trade is a local institution that read the AGEPAR technical note in March and sold; that seller is informed, not forced. If Sanepar wins in court the state may simply direct the company to distribute less, as it already did with the JCP.

Verdict. Watchlist. Log price R\$37.21 (25 Aug 2026 intraday, Investidor10). What changes it: a scheduled judgment date, or a fato relevante on privatisation with a legislative timetable.

Candidate 3: Light S.A. (LIGT3:B3), gated

The business. Rio de Janeiro electricity distributor since 1904, in recuperação judicial since May 2023 with around R\$11bn of pre-petition debt (Mais Retorno, May 2023). Concession renewed for 30 years to 4 June 2056 by the 8th amendment signed 8 May 2026, with new contract language recognising areas of severe operational restriction (theft, non-technical losses, violence) as distinct (Monitor Mercantil, 9 May 2026; Investidor10, 11 May 2026).

Event. Two dated-ish events: the capitalisation of R\$3.2bn to R\$3.7bn via capital increase and credit conversion, and the court order closing the RJ, both guided by management for 2026 (ADVFN, 11 May 2026). Management targets net debt/EBITDA below 2x after capitalisation.

Why it cannot be logged today. (1) Leverage gate: pro forma net debt was R\$6.7bn at 1T26 (Arevista, 20 May 2026) against a quarterly EBITDA of R\$494m (Investidor10), i.e. above 3x annualised. The screen admits post-reorg equities only where the emergence balance sheet shows below 2.5x. That balance sheet does not exist yet. (2) Starboard conflict unconfirmed. (3) Price data stale: R\$4.20 on 8 May 2026 (ADVFN).

What would make it a candidate. The homologatory decision closing the RJ plus the first post-capitalisation balance sheet with net debt/EBITDA below 2.5x, and a written confirmation from the user that Starboard is not active or restricted. If all three arrive, this is the purest lens-1-meets-lens-5 situation on B3 and would be logged at that date’s price, not today’s.

Bear case, briefly, because it is not yet a candidate. Rio non-technical losses are structural; the new contract “recognises” them without yet defining compensation (“how this will happen is still being debated”, CEO to Brazil Journal via Investidor10). A Tanure-linked vehicle sold 18.6m shares (Investidor10), which is the creditor-turned-shareholder selling the screen warns about. Aneel’s regulatory treatment of restricted areas is a consultation, not a rule. R\$10bn of capex over five years on a distributor that just emerged from RJ is a financing plan that has not been tested by the credit market.

Verdict. Watchlist, gated. Not a paper position.

Screened and rejected this week

Name	Lens	Why passed
Oncoclínicas (ONCO3:B3)	5	Genuine special situation: CVM ordered Centaurus to launch a mandatory OPA within 60 days of 25 Aug 2026 (deadline around 24 Oct), price set by statute at the highest of four tests and Selic-indexed from 4 Nov 2024, market estimates R\$14 to R\$20 against a share price of R\$1.24 on 28 Aug (Seu Dinheiro, Renova Invest, Estadão via Substack). Fails the mandate’s leverage exclusion: net debt/EBITDA 5.2x at 1T26, Fitch C(bra), net debt around R\$3.4bn (Renova Invest). Also: Centaurus contests the decision and has opened arbitration; the OPA would cost over R\$6bn that the offeror may not have; the equity is worth little if the OPA fails. Logged so it is not re-pitched. See section 7.
Copasa (CSMG3:B3)	5	Privatisation completed 16 June 2026, Equatorial as reference shareholder at R\$49.03 (Gazeta do Povo, Brasil de Fato). The event has happened, the stock is up more than 36% in 2026 and 118% over 12 months (Seu Dinheiro, 1 Jul 2026), BTG and Safra cover it with targets. Fails “the event is already priced” and there is no dated next event; the ARSAE-MG tariff cycle under the new model would be the next one. Revisit when a review date exists.
AySA, Metrogas	5	Starboard workstreams. Excluded entirely.
Transener (TRAN:BYMA)	5	Privatised May 2026, no ADR, BYMA only. Fails IBKR gate [UNVERIFIED].
Edenor, TGS (NYSE ADRs)	5	Argentine tariff reviews (RQT 2025 to 2029) are done; regulators merged into ENReGE in 2026. No dated event this year. Not rejected on quality; there is simply no situation.

4. Proposed trades

No trades. Phase 1, satellite and fast sleeve closed, week 37 is not a gate week, and the core has no confirmed UCITS line yet. The only action this week is for the user to confirm the core tickers so the quarterly remittance has somewhere to go.

Fast sleeve paper log: nothing entered. The one candidate with a dated catalyst inside eight weeks (ONCO3, OPA deadline around 24 Oct) is excluded by the leverage rule as this memo reads it. See section 7.

5. Watchlist

Name	Ticker:Exch	Lens	Logged	Price at log	Target	Catalyst / mechanism	Catalyst date	Kill criteria	Gate date	Status
EYDAP	EYDAP:ATSE	5	2026-09-09	€12.28 (4 Sep)	€15.3	First H1 under RAAEY revenue cap; run-rate EBITDA visible	2026-09-30	H1 rev < €200m; pricing reopened; net debt before FY27	W40	Paper position, US\$1,000 hypothetical
Sanepar	SAPR11:B3	5	2026-09-09	R\$37.21 (25 Aug)	not built	Court ruling on AGEPAR precatório decision; privatisation optionality	none	n/a until dated	n/a	Watchlist, no date
Light	LIGT3:B3	5	2026-09-09	R\$4.20 (8 May, stale)	not built	RJ closure + capitalisation; emergence leverage < 2.5x	2026 (undated)	n/a	n/a	Gated: leverage, Starboard conflict

6. What I could not check

- Current prices for every name. All quotes are dated and secondary (Yahoo, Investidor10, ADVFN). Light’s is four months old.
- EYDAP: share count, analyst coverage, MSCI membership, auditor, operating cash flow for 2023 to 2025, gross debt, ADV in USD, IBKR tradeability on ATSE, current Paulson & Co. stake. I did not read the RAAEY decision itself; the €78.3m and €42m figures are management’s from a results briefing reported by ot.gr.

- EYDAP target multiple (9x EV/EBITDA) is an assumption, not a peer set pulled this week.
- Sanepar: 2T26 net debt/EBITDA, ADV, whether any hearing date has been set, Starboard exposure.
- Light: current net debt after any 2T26 movements, whether the capital increase has priced, Starboard exposure, whether the RJ closing decision has been filed since May.
- Oncoclínicas: the CVM ata itself (cited through Renova Invest and Seu Dinheiro), the 24 Oct deadline (derived from “60 days from 25 Aug” in press), current price.
- Whether IBKR gives this account access to BYMA (affects Transener conclusion) and ATSE.
- Honesty line from the screen: this week I read press coverage of filings, not the filings. The RAAEY decision, the Sanepar mandado de segurança, the Light PRJ and the CVM ata are all on the reading list for week 38.

7. For you to decide

1. **Does the leverage exclusion apply to fast-sleeve paper trades?** The mandate says avoid levered names “in the satellite”; the screen says the exclusion “applies to special situations too”. I applied it to everything and rejected ONCO3. If you rule the fast sleeve exempt, ONCO3 is a textbook paper fast-sleeve trade (dated catalyst, mandatory exit at the OPA leilão) and would be logged next week at next week’s price, never at today’s. Your call, in writing, before week 38.
2. **Starboard restricted list.** Confirm whether Light, Sanepar and Oncoclínicas are active or restricted. Until you do, Light stays gated and the other two carry a flag.
3. **Core tickers.** Still the blocker for the only actionable item in this book.
4. **IBKR market access.** Confirm ATSE (Athens) and BYMA in the account’s permissions so future lens-5 work does not waste time on untradeable names.

Research and proposed trades only. Not investment advice; the user executes and owns every decision.

Sources: EYDAP FY2025 results briefing, [ot.gr](#) · EYDAP statement on tariffs, Feb 2026 · RAAEY approval and €2.5bn plan · EYDAP quote, Yahoo · Greek water reform draft, Jul 2026 · Sanepar AGEPAR ruling, Investidor10 · Sanepar mandado de segurança, InfoMoney · Sanepar JCP cancelled, Seu Dinheiro · Sanepar Fitch report · Light concession renewal, Monitor Mercantil · Light capitalisation, ADVFN · Light 1T26, Arevista · Oncoclínicas OPA, Renova Invest · Oncoclínicas OPA, Seu Dinheiro · Copasa privatisation concluded, Gazeta do Povo · Copasa p ost-privatisation, Seu Dinheiro · Argentine privatisations, Indymedia summary · AySA tender launch, [argentina.gob.ar](#)

Appendix: fund state at render time

Paper fund summary, 2026-09-09

NAV US\$99,968 | cum -0.03% | core bench -0.35% | cash bench +0.00% | drawdown 0.00% | open 1 Flags: none

Limits

- Largest position at cost: 8.0% (ok)
- Gross exposure % NAV: 8% (ok)
- Net exposure % NAV: 8% (ok)
- Satellite names: 1 (ok)
- Brazil % NAV: 0.0% (ok)
- Fast sleeve % NAV: 0.0% (ok)

Positions held

- EYDAP:ATSE qty 569 | MV 7960.17 | P&L -0.40% | 8.0% NAV | catalyst in 21.0 d | close 2026-09-09

Catalysts and gates within 14 days

- none